

TOPIC 1

THE ENTREPRENEURIAL LIFE

LEARNING OUTCOMES:

1. Define what is meant by the term business.
2. Articulate the differences between the small business manager and the entrepreneur.
3. Describe where the opportunities are for small businesses.
4. Enumerate the advantages and disadvantages of self-employment.
5. Suggest ways to court success in a small business venture.
6. Describe the traits/characteristics of successful entrepreneurs.
7. Name some of the unique contributions of small business.
8. Discuss the steps in preparing for small business ownership.
9. Explain the importance of small business and entrepreneurship in our society.
10. Distinguish between the terms small business and entrepreneurial opportunity.

LEARNING OUTCOMES:

- Explain the basic characteristics of entrepreneurs, and describe different kinds of entrepreneurship.
- Discuss the importance of understanding your motivations and perceptions related to owning a small business.
- Describe five potential competitive advantages of small entrepreneurial companies over large firms.

What Is a Small Business?

- Criteria for Defining Smallness in Business
 1. Small in size relative to larger competitors (fewer than 100 employees)
 2. Localized business operations (except marketing)
 3. Financing supplied by one person or small group
 4. Has the potential to become more than a “one-person show”



Defining Small Business

Small business must have at least two of the following features:

- Management is independent, because the manager usually owns the business.
- Capital is supplied and ownership is held by an individual or a few individuals.
- The area of operations is primarily local, although the market is not necessarily local.
- The business is small in comparison with the larger competitors in its industry

6 Questions to Ask Before Starting a Business

Is Owning a Small Business a Good Fit for You?

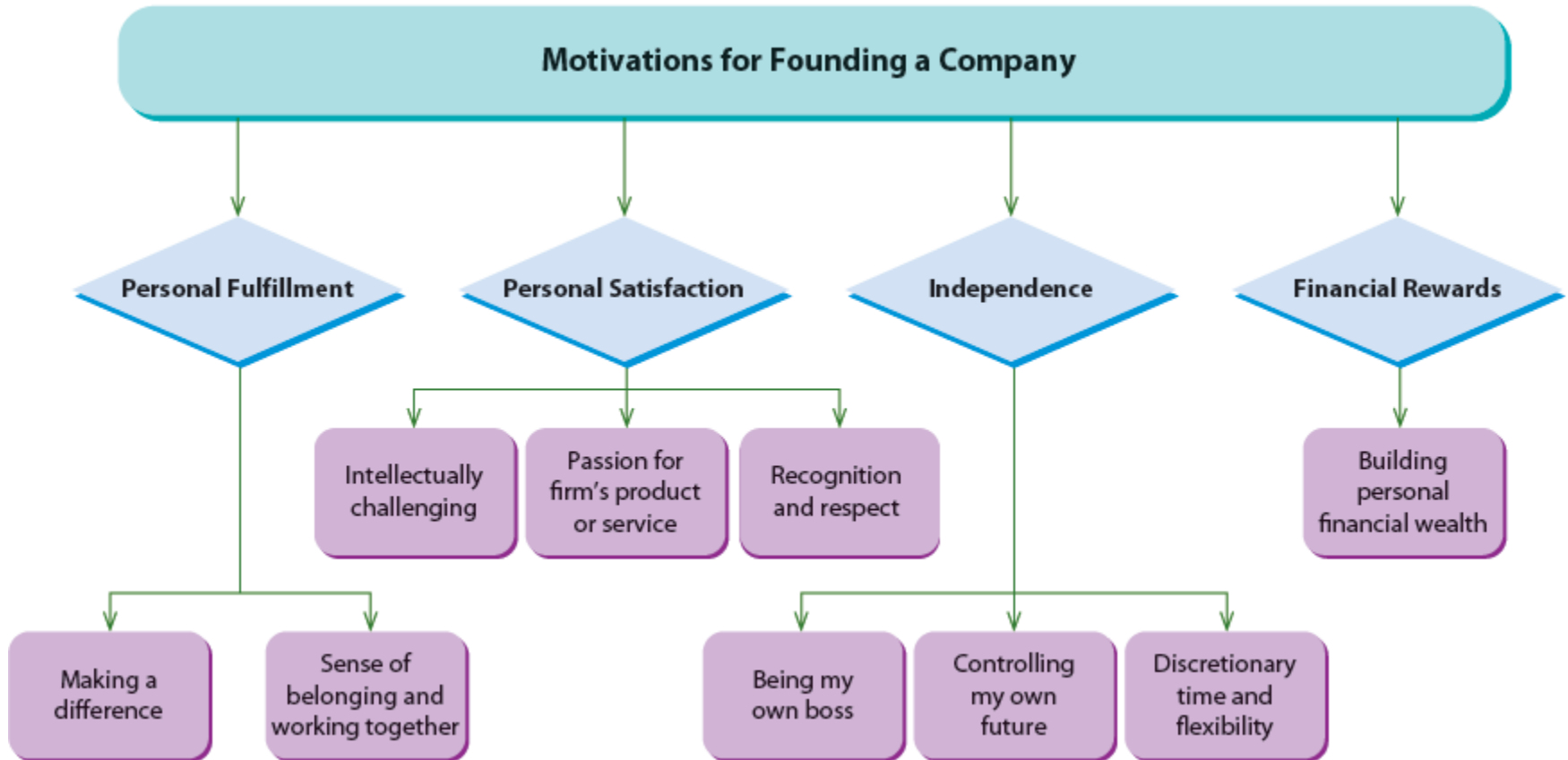


Answering these questions will help in evaluating your chances of entrepreneurial success:

1. Do you believe you have what it takes?
2. Are you able to let other people down?
3. How do you handle setbacks?
4. Are you really an inventor, rather than an entrepreneur?
5. Can you accept that your company may outgrow you?
6. When you look in the mirror, does an entrepreneur look back?
7. Am I passionate about my product or service?
8. What is my tolerance for risk?
9. Am I effective in making decisions?
10. Am I willing to take on numerous responsibilities?
11. Will I be able to avoid burnout?



Entrepreneurial Motivations



Your Decision for Self-Employment

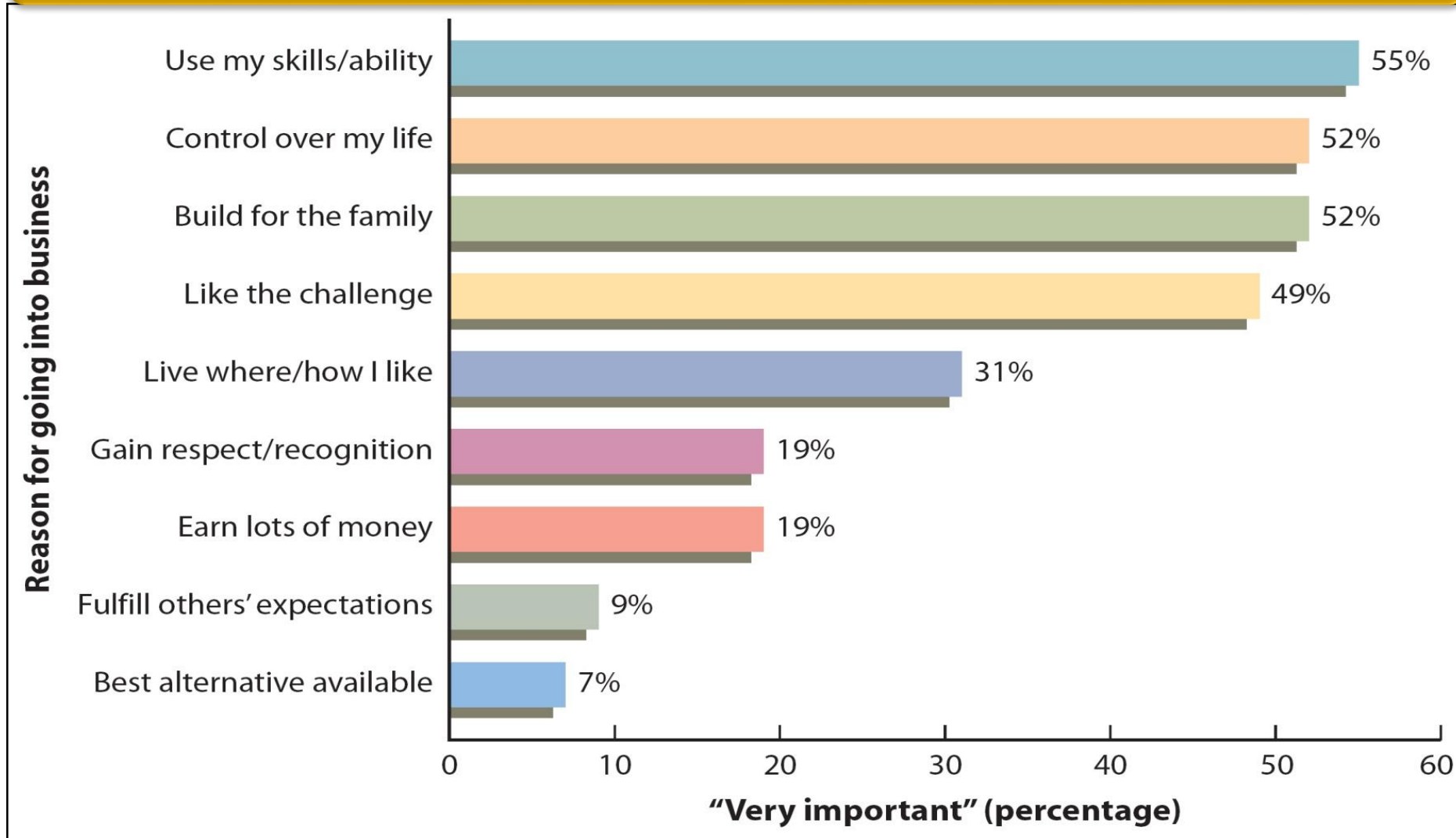
Rewards

- Opportunity for independence
- Outlet for creativity
- Opportunity for a better lifestyle
- Opportunity for profit

Risks

- Personal liability
- Long working hours
- Limited and uncertain income
- Fewer places to seek advice
- Answerable to many masters

Figure 2.4: Independence Is the Primary Reason Most People Go into Business for Themselves



SOURCE: Arnold C. Cooper et al., "New Business in America," *NFIB Foundation/ VISA Business Card Primer*, as shown in William J. Dennis, Jr., *A Small Business Primer* (Washington, DC: National Federation of Independent Business, 1993), 31.

Five Bad Reasons to Become an Entrepreneur



- Because you really need a job
- Because you want to work less
- Because you are sick of working for someone
- Because you want to become rich
- Because you want to become famous

Source: <http://www.forbes.com/2010/02/01/business-start-up-flexible-forbes-woman-entrepreneur-blogger-jory-des-jardins.html>

Small Business Growth Potential and Profits

- High-Potential Venture (Gazelle)
 - Has great prospects for growth
- Attractive Small Firm
 - Provides substantial profits to its owner
- Microbusiness
 - Provides minimal profits to its owner
- Lifestyle Business
 - Permits the owner to follow a desired pattern of living



Opportunities - Some Practical Ideas for Small Businesses

**Career
counseling**

Catering

**Computer and
office machine
repair**

Day care

**Educational
services and
products**

**Financial
planning**

**Home health
care**

**Marketing,
promotion, and
public
relations**

**Senior fitness
and recreation**

**Specialized
delivery
services**

The Contributions of Small Business

- **Small Businesses:**
 - Represent 99.7% of all firms.
 - Employ over 50% of employees in the private sector.
 - Account for 43% of private payrolls.
 - Outperform larger companies in net job creation.
 - Hire 43% of high-tech employees
 - Represent 97.3% of all exporters.
 - Provide increased business ownership opportunities for minorities and self-employed degreed individuals.

Some Unique Contributions of Small Business

Encourage innovation and flexibility.

Keep larger firms competitive.

Develop risk takers.

Generate new employment.

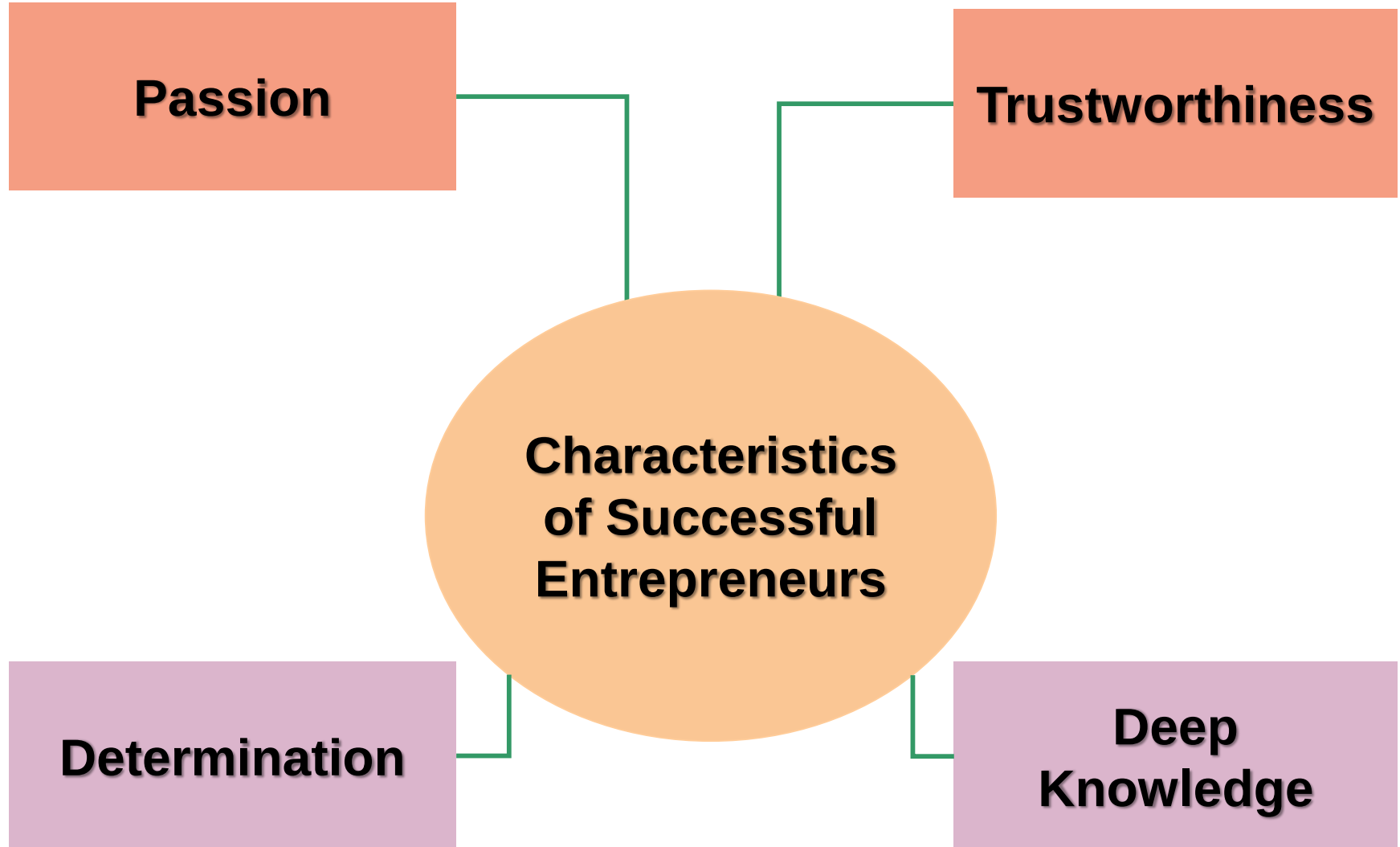
Provide greater employee job satisfaction.

Who Are Entrepreneurs?

- Entrepreneurs are:
 - A person who starts and/or operates a business.
 - Individuals who discover market needs and launch new firms to meet those needs.
 - Risk takers who provide an impetus for change, innovation, and progress.
 - All active owner-managers (founders and/or managers of small businesses).



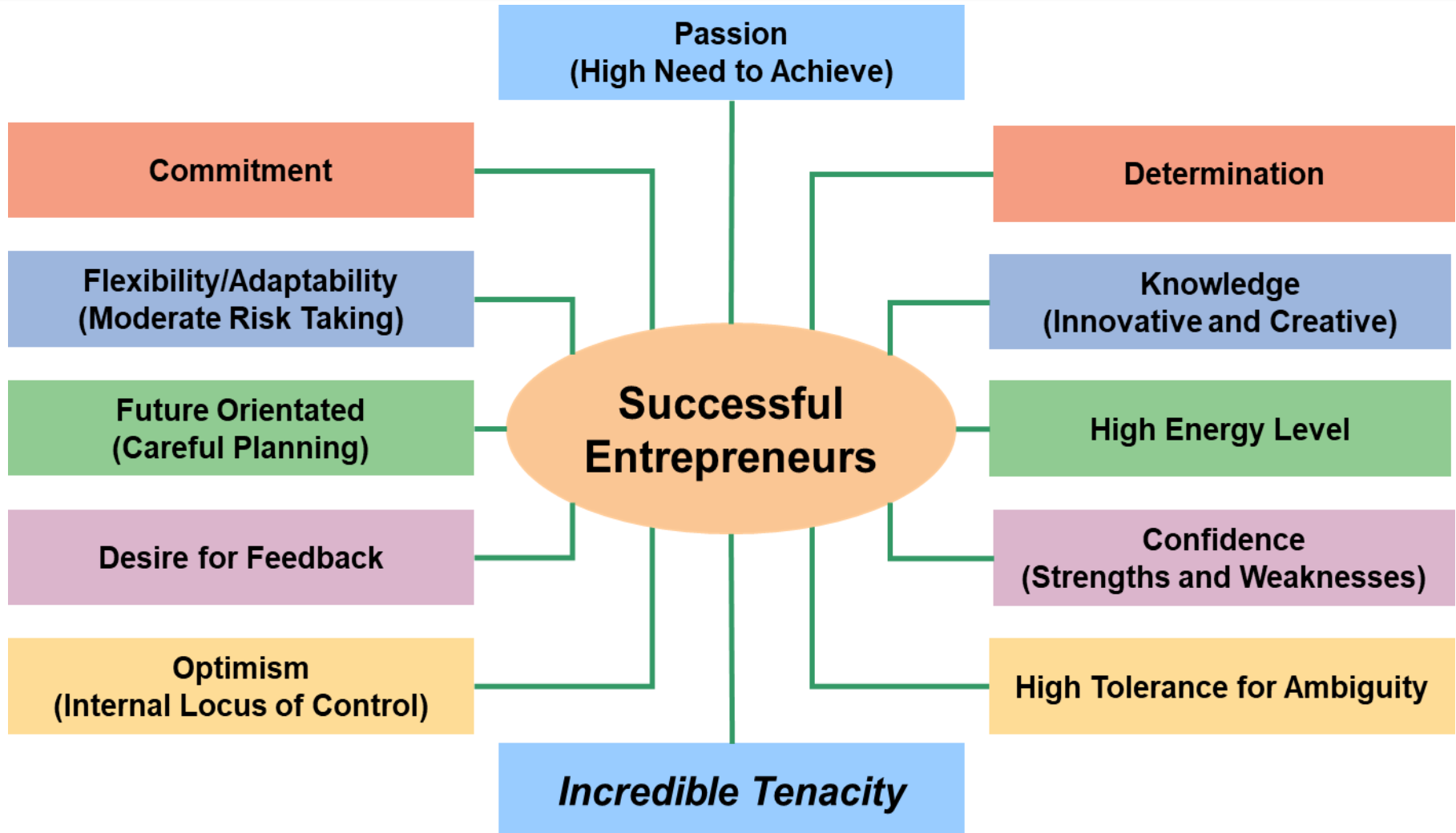
Traits of Successful Entrepreneurs



Entrepreneurial Characteristics (Timmons and Spinelli)



Prerequisites for Successful Entrepreneurs



Distinguishing between Entrepreneurial Ventures and Small Businesses

What's the Difference?

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graph TD; A([What's the Difference?]) --> B[Entrepreneur]; A --> C[Small Business Owner]; B --> D[Goals include achievement, profit, and growth, achieved through innovation and strategic management.]; C --> E[Establishes a business primarily to further personal goals, including making a profit.]
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Entrepreneur

Goals include achievement, profit, and growth, achieved through innovation and strategic management.

Small Business Owner

Establishes a business primarily to further personal goals, including making a profit.

Distinguishing between Entrepreneurial Ventures and Small Businesses

Entrepreneurial Venture

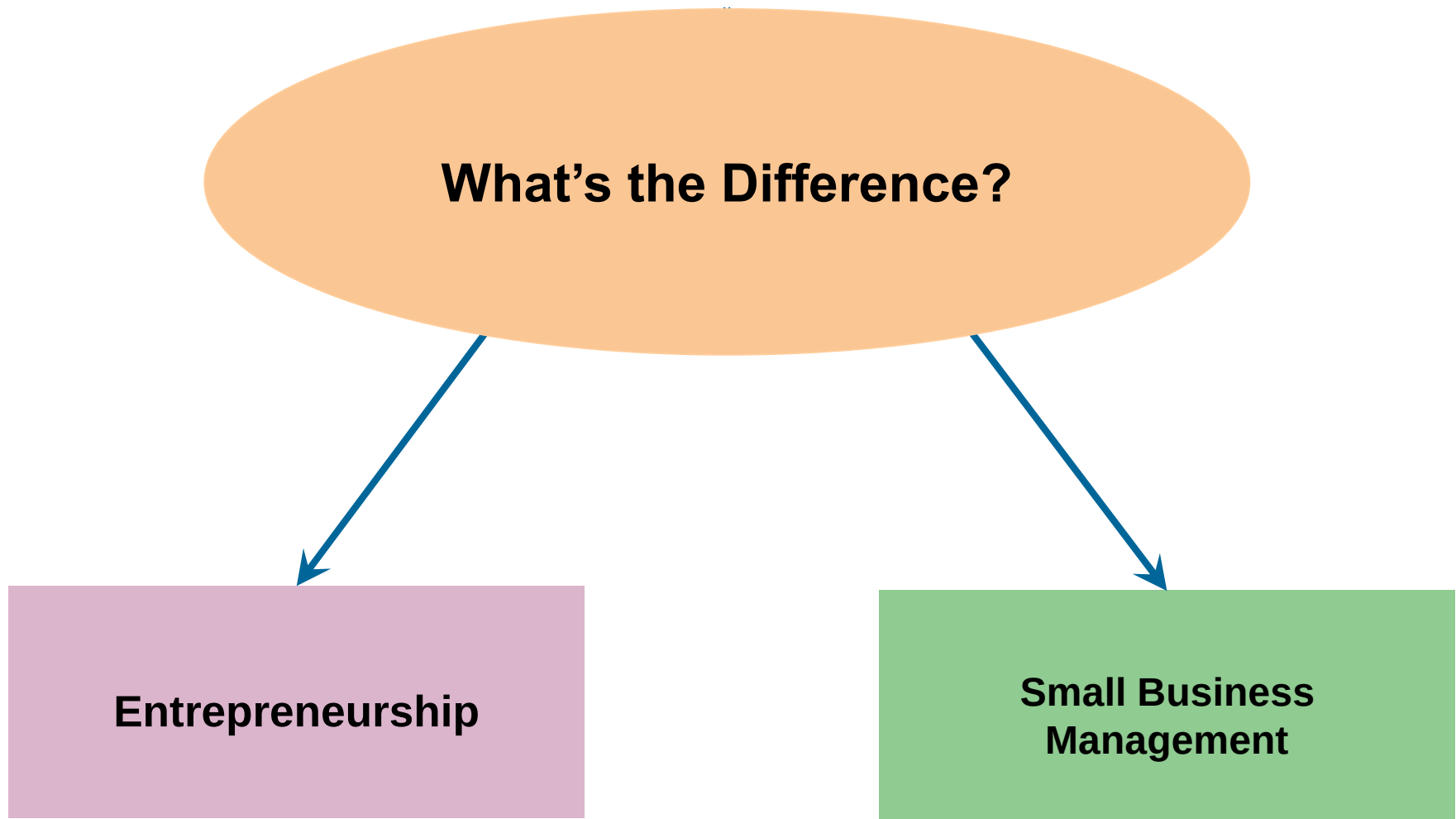
The principal objectives of the owner are profitability and growth

Small business

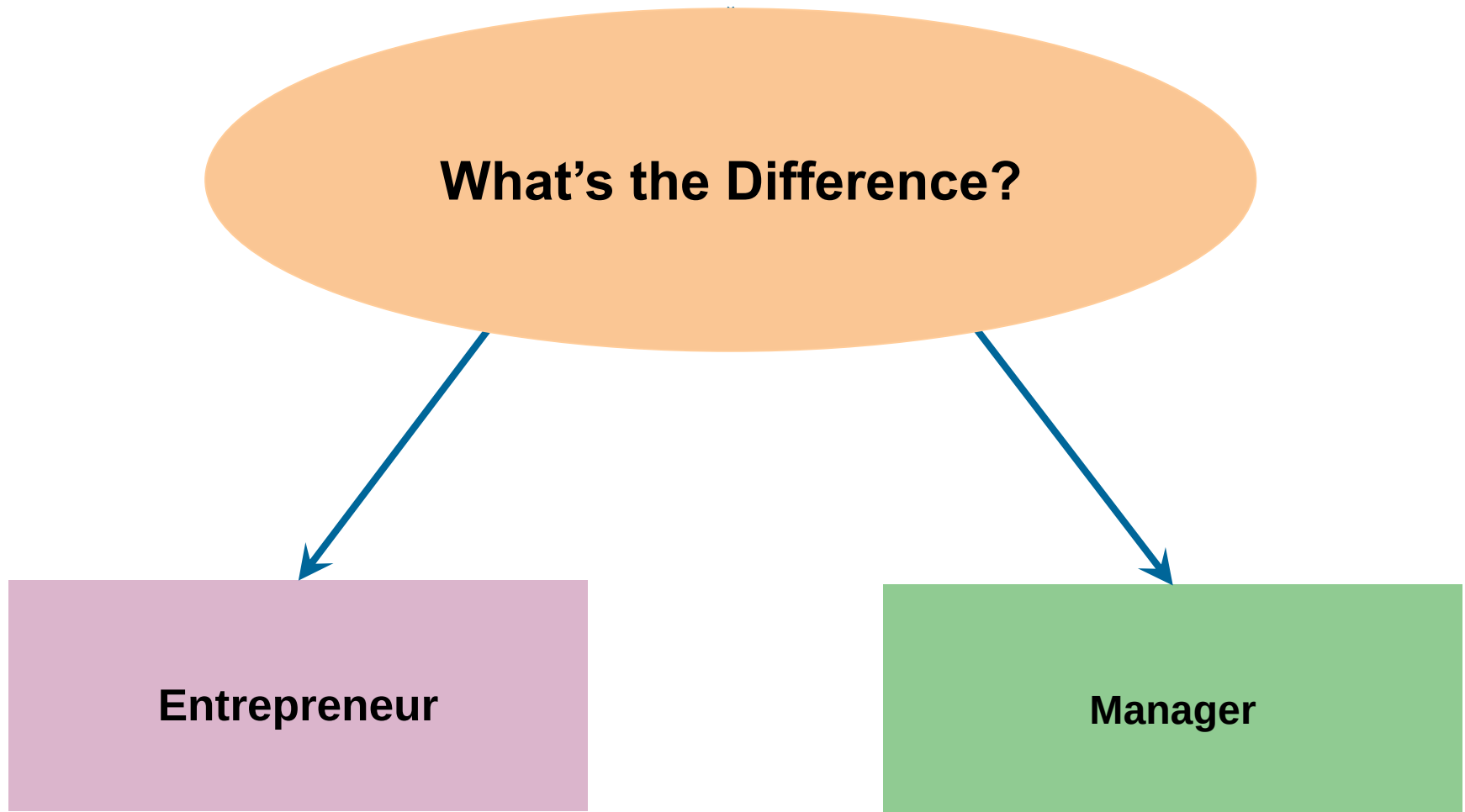
Independently owned and operated and is not dominant in its field



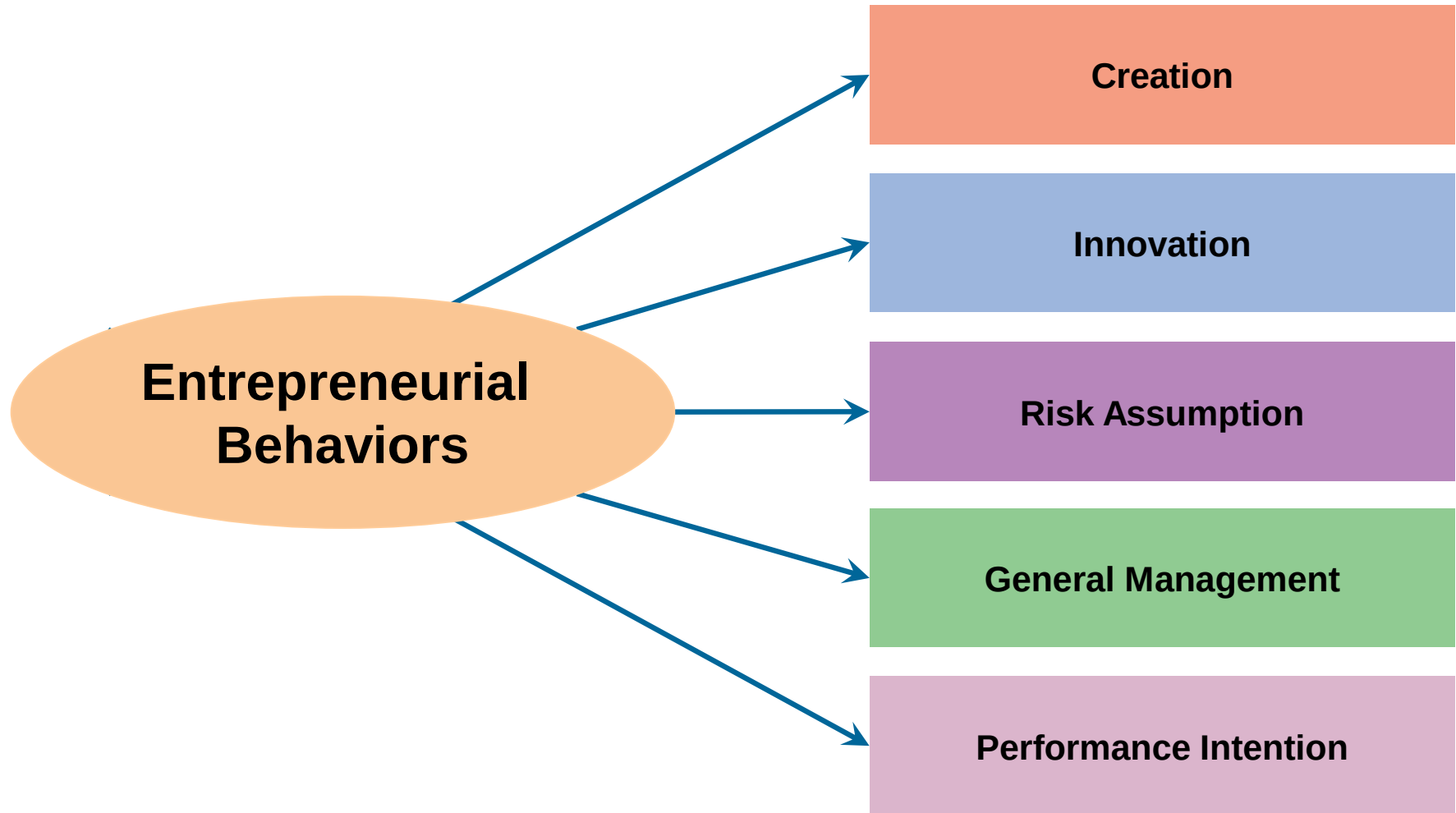
The Entrepreneur-Manager Relationship



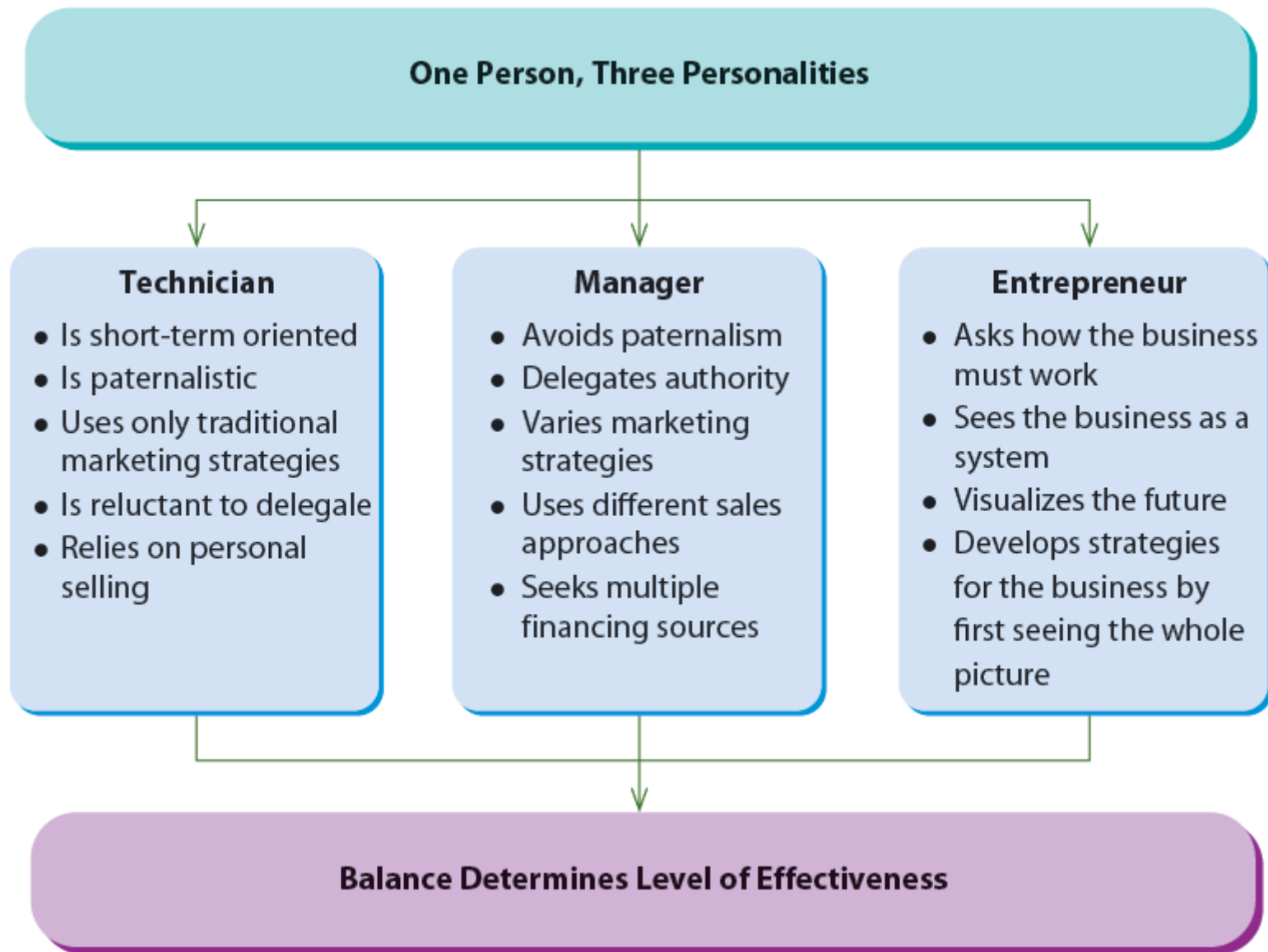
The Entrepreneur-Manager Relationship (cont'd)



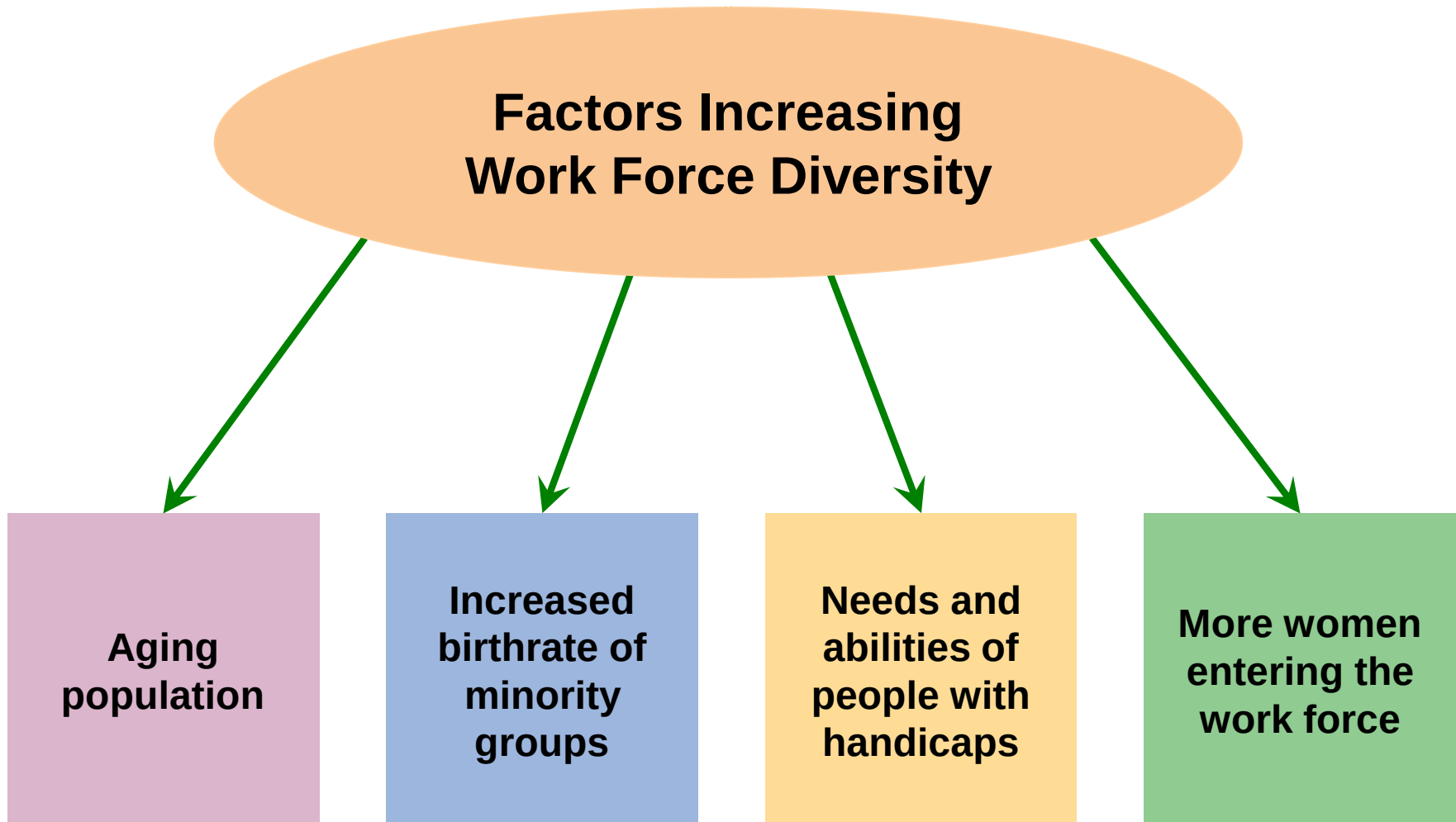
The Entrepreneur-Manager Relationship (cont'd)



Understanding Your Business Paradigm

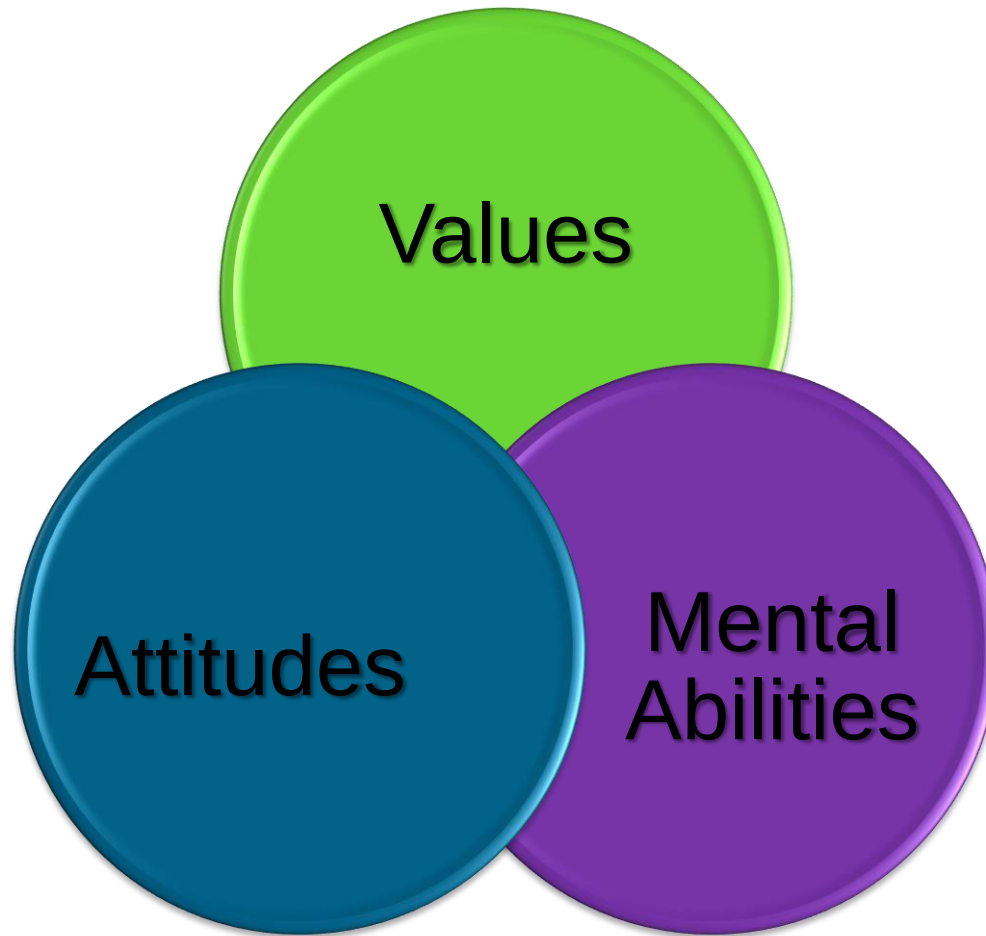


Secrets of Small Business Success (Appreciating Work Force Diversity)

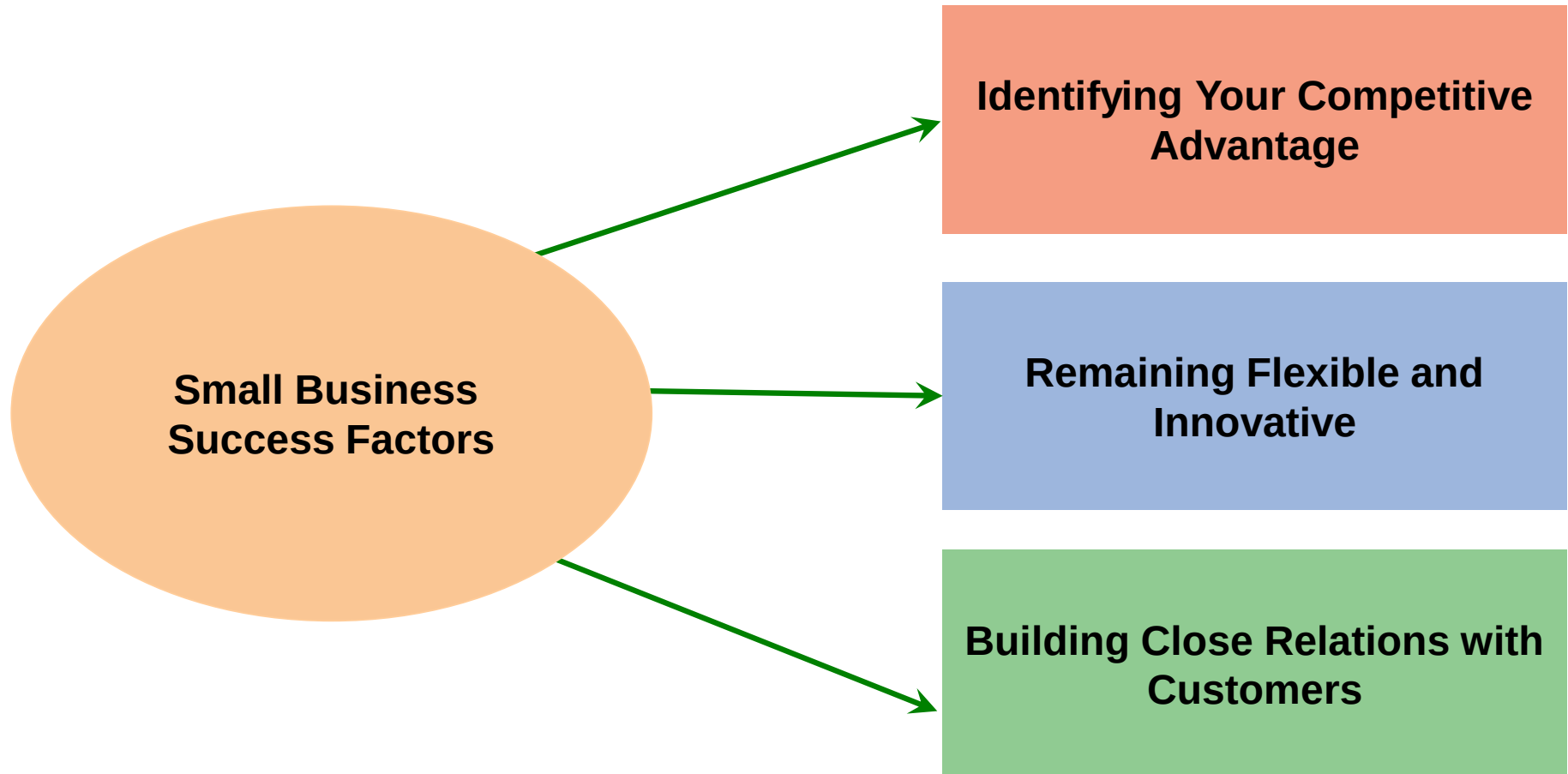


Secrets of Small Business Success

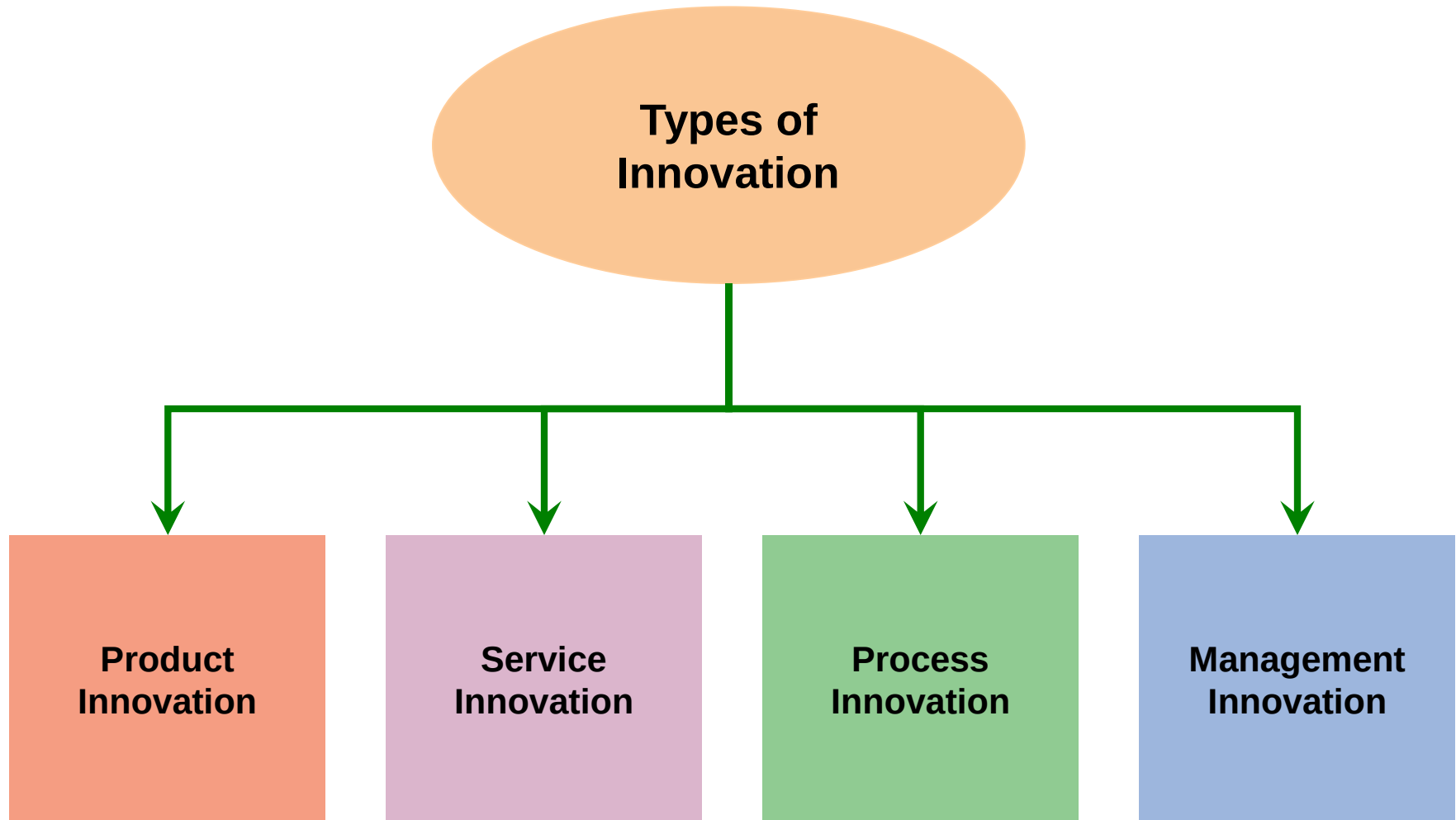
(Doing an Introspective Personal Analysis)



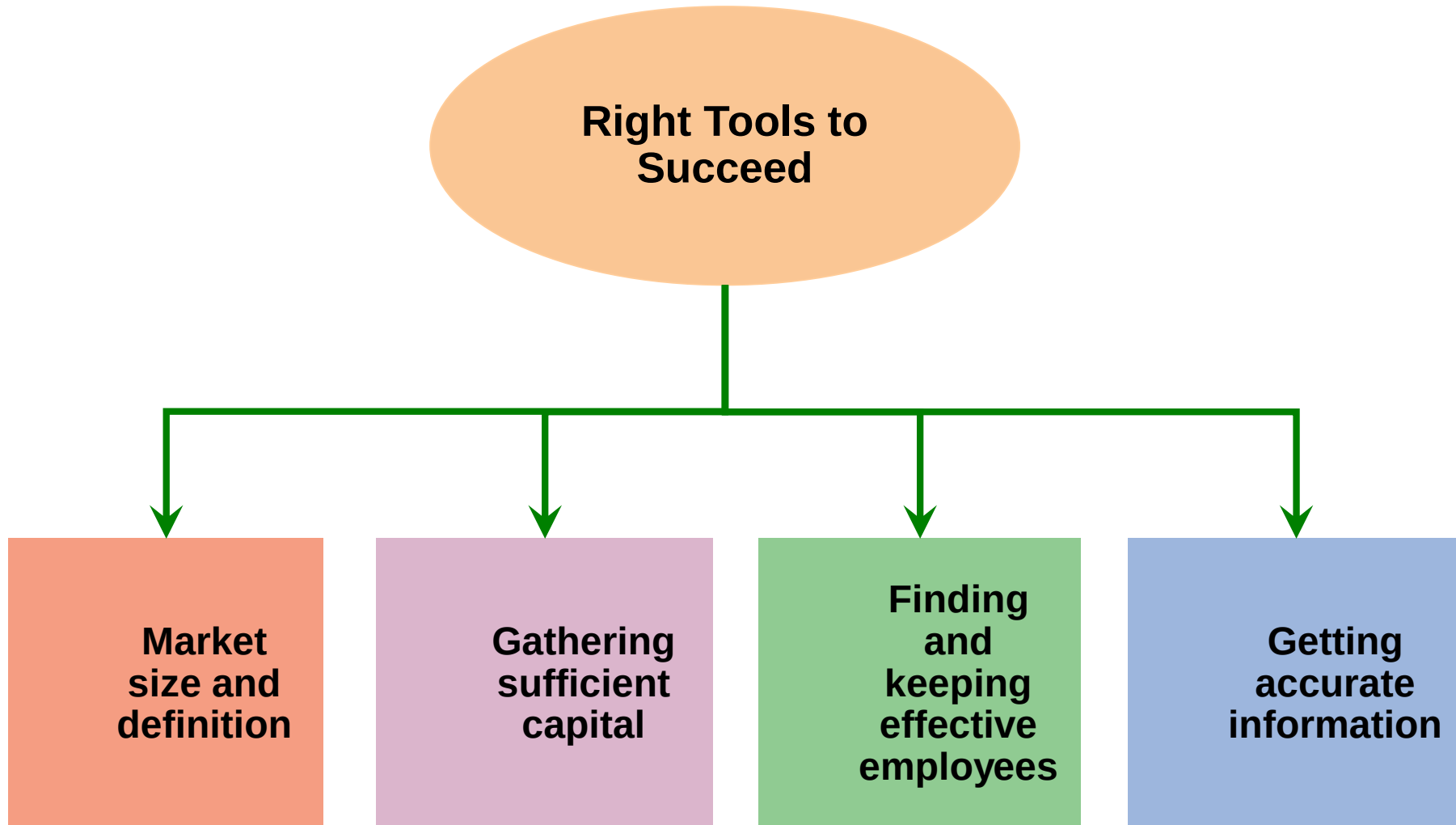
Secrets of Small Business Success



Secrets of Small Business Success (Appreciating Innovation's Role in Small Business)



Secrets of Small Business Success (Getting Started on the Right Foot)



What Leads to Success in Managing a Small Business?

- Serving an adequate and well-defined market for the product.
- Acquiring sufficient capital.
- Recruiting and using human resources effectively.
- Obtaining and using timely information.
- Coping effectively with government regulations.
- Having expertise in the field on the part of both the owner and the employees.
- Being flexible.

Question: What Do You Think Lead To Success of An Entrepreneur or Business Owner in your own community?

Preparing for Business Ownership

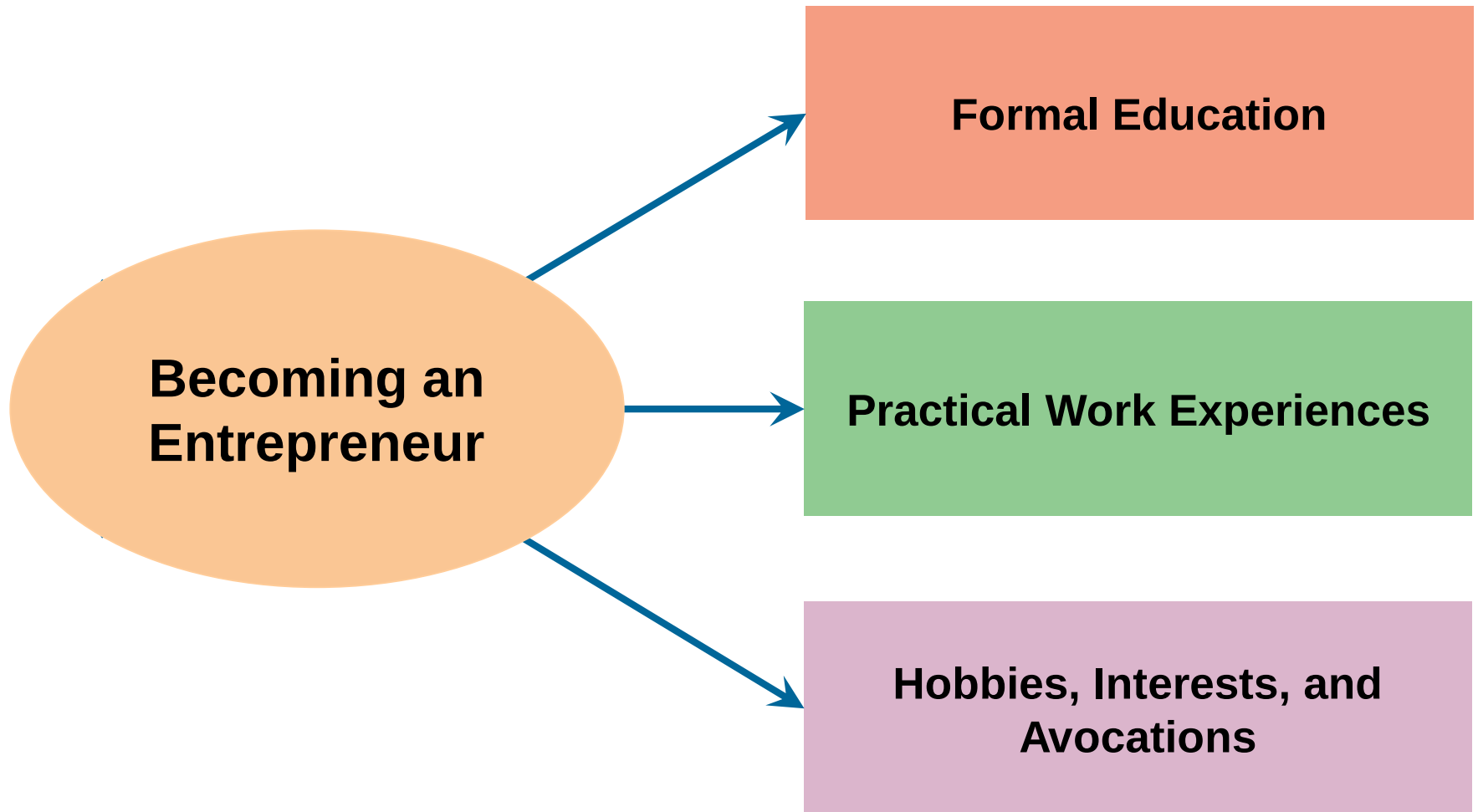
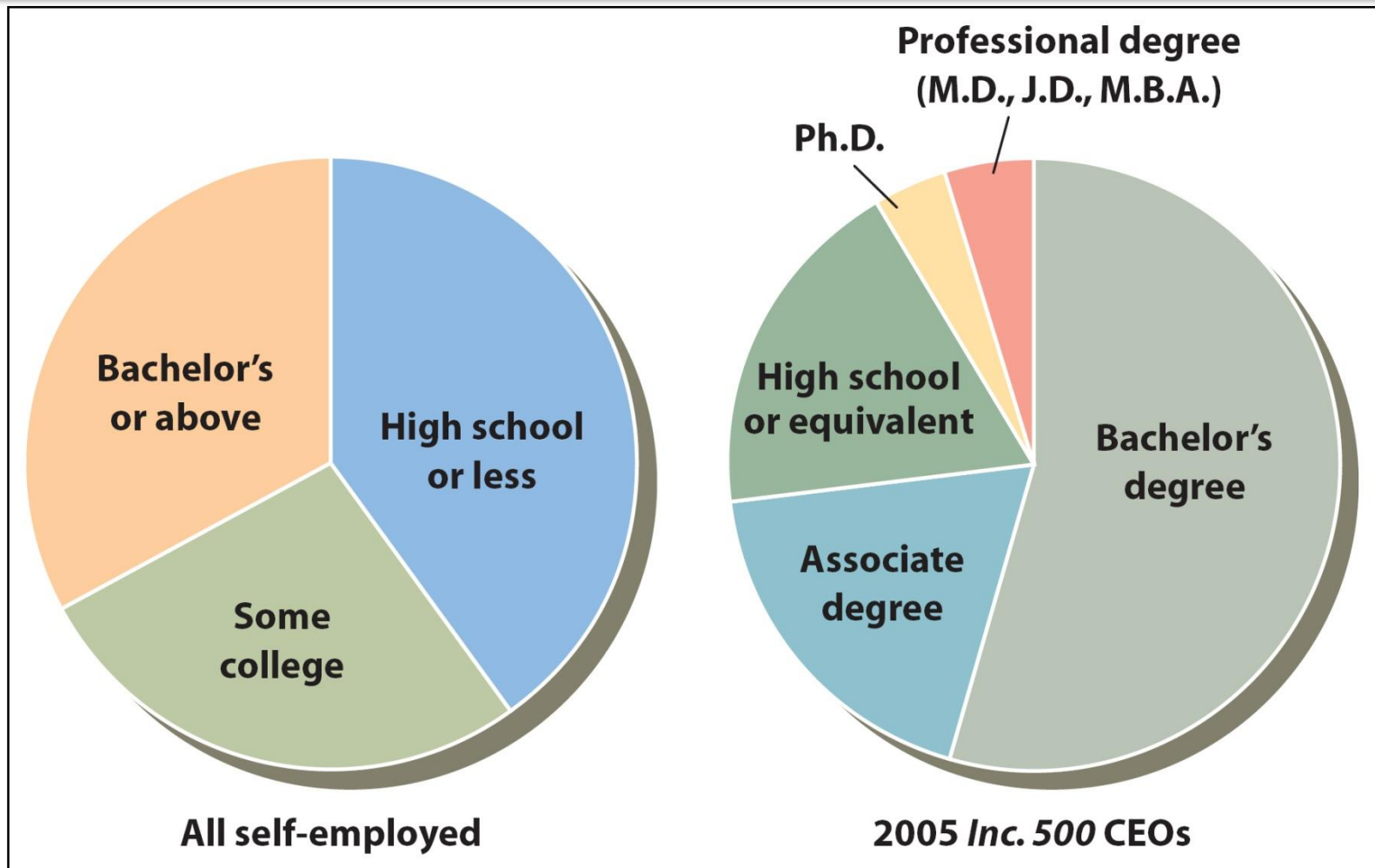
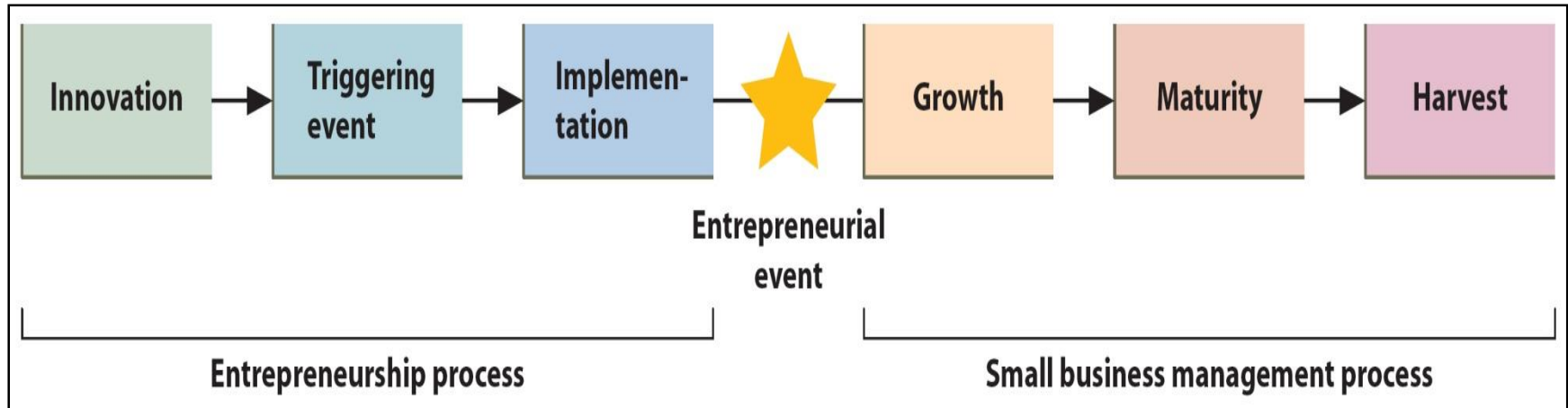


Figure 2.5: Education Level of New Business Owners



SOURCES: U.S. Small Business Administration, Office of Advocacy, "Characteristics of Small Business Employees and Owners," www.sba.gov/stats; "Meet the Founders—CEO Survey," *Inc. (The Inc. 500 Special Issue)*, November 2005, 126.

Figure 2.1: The Startup Process

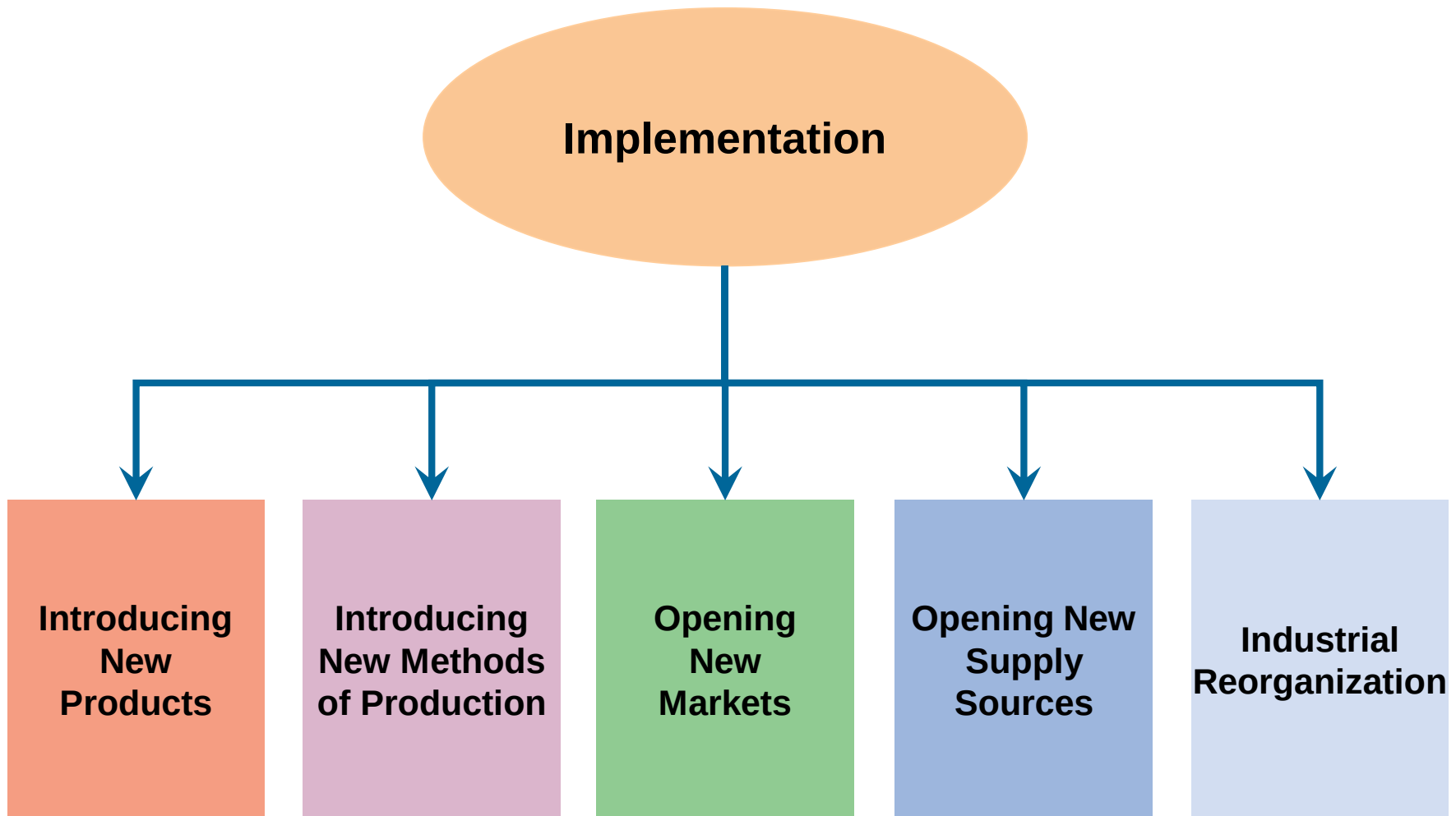


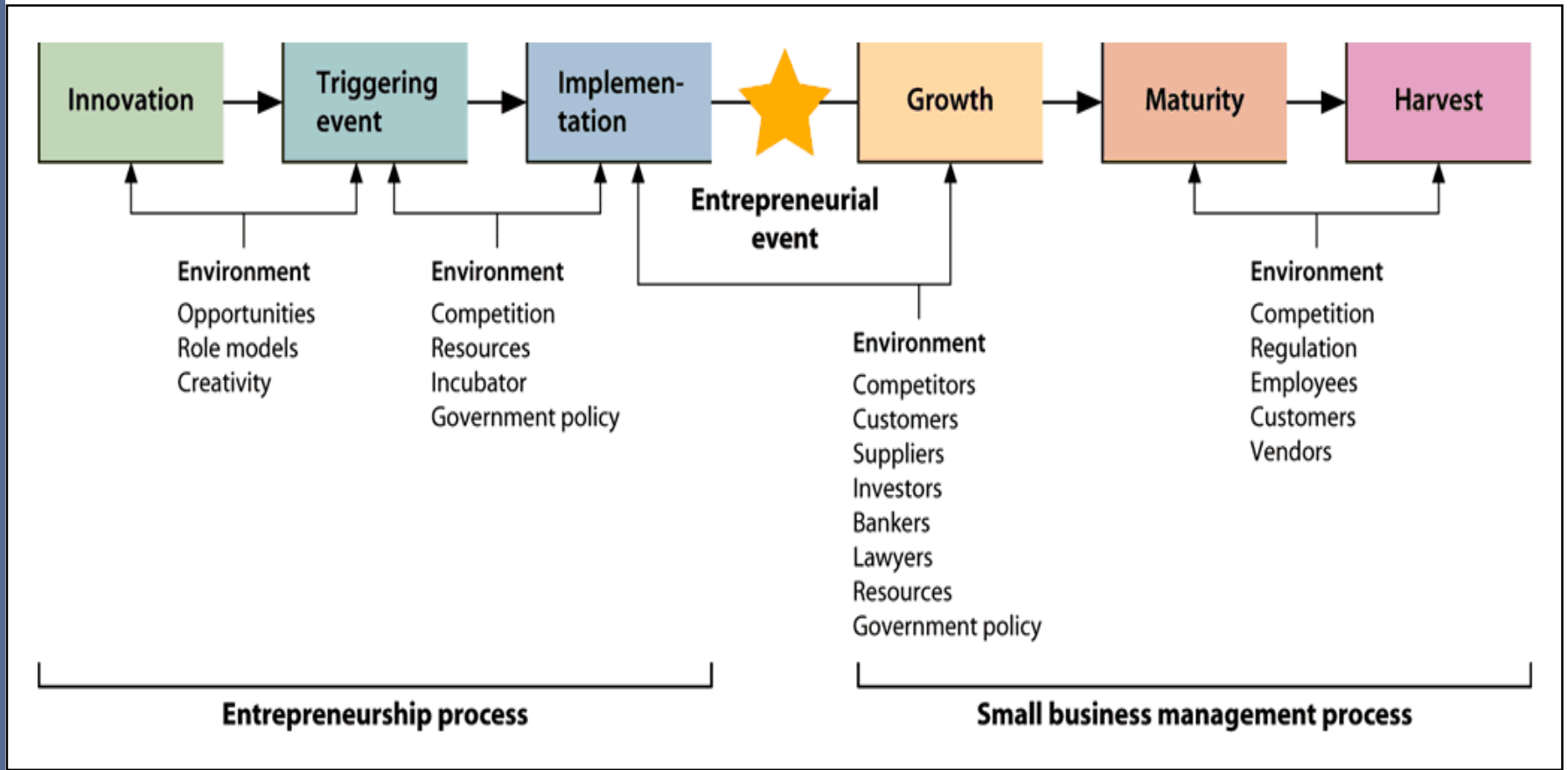
**Entrepreneurship
involves
the startup process.**

**Small business
management focuses on
running a business
over a long period of
time.**

SOURCES: Based on, with additions to, Carol Moore, "Understanding Entrepreneurial Behavior: A Definition and Model," in *Academy of Management Best Paper Proceedings*, edited by J. A. Pearce II and R. B. Robinson, Jr., 46th Annual Meeting of the Academy of Management, Chicago, 1989, 66–70. See also William Bygrave, "The Entrepreneurial Paradigm (I): A Philosophical Look at Its Research Methodologies," *Entrepreneurship: Theory and Practice*, Fall 1989, 7–25.

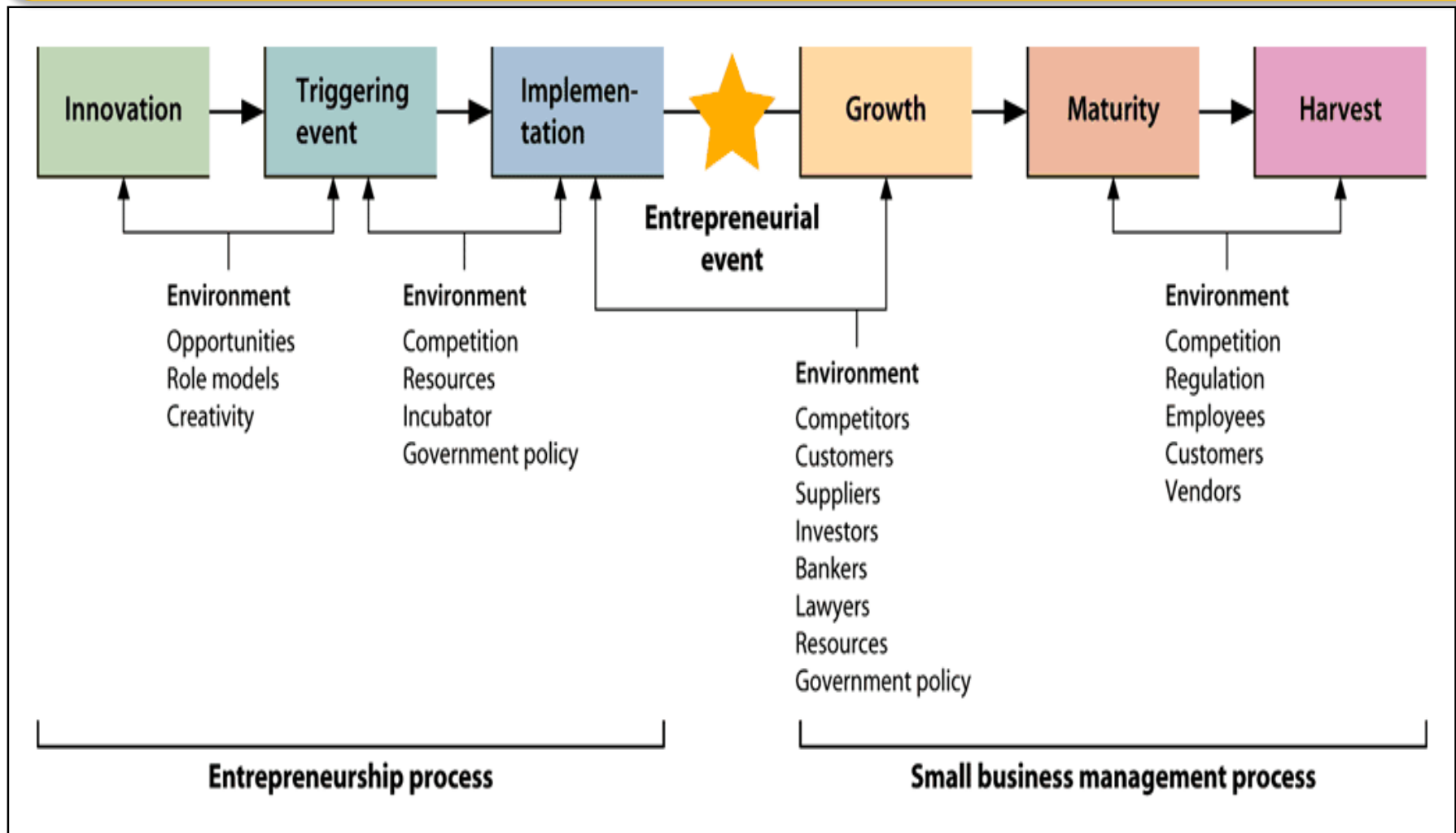
The Entrepreneurial Process





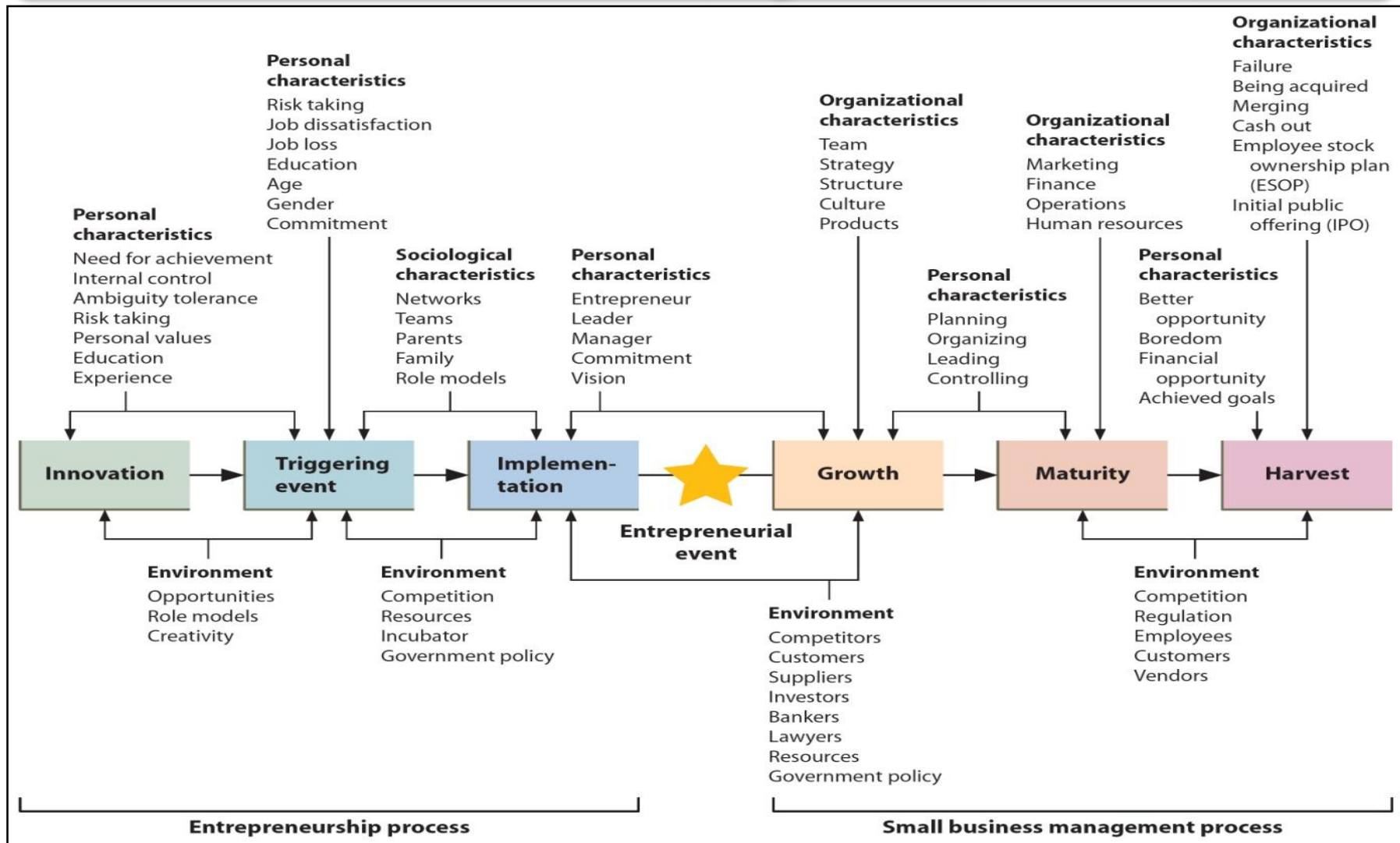
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Figure 2.2: Environmental Factors Affecting the Startup Process



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Figure 2.3: A Model of the Entrepreneurship/ Small Business Management Process



SOURCES: Based on, with additions to, Carol Moore, "Understanding Entrepreneurial Behavior: A Definition and Model," in *Academy of Management Best Paper Proceedings*, edited by J. A. Pearce II and R. B. Robinson, Jr., 46th Annual Meeting of the Academy of Management, Chicago, 1989, 66–70. See also William Bygrave, "The Entrepreneurial Paradigm (I): A Philosophical Look at Its Research Methodologies," *Entrepreneurship: Theory and Practice*, Fall 1989, 7–25.

Harvesting a Business

